

EAST AFRICAN BREWERIES PLC
RESULTS BOOKLET

FOR THE YEAR ENDED 30 JUNE 2022



MARCHING ON TO THE **NEW CENTURY**



EABL PLC AUDITED RESULTS FOR THE YEAR ENDED 30 JUNE 2022

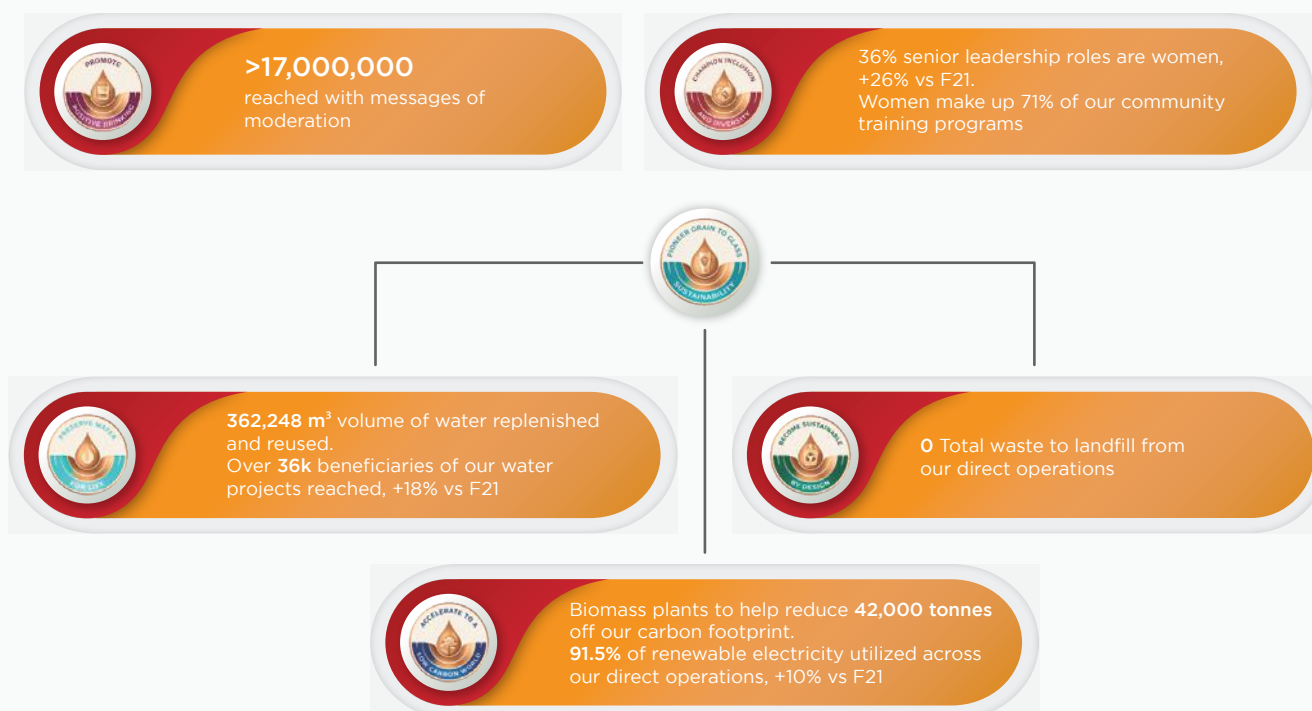
Performance Highlights



Great Performance Against Key Metrics



Non-Financial Highlights



SUMMARY OF FINANCIAL INFORMATION

Consolidated statement of Profit or Loss

Year ended 30 June	Note	2022 Kshs '000	2021 Kshs '000	% Change
Revenue from contracts with customers	1	109,409,027	85,961,815	27%
Cost of sales	2	(56,553,029)	(48,548,122)	16%
Gross profit		52,855,998	37,413,693	41%
Selling and distribution costs		(9,733,709)	(7,362,119)	32%
Administrative expenses	3	(10,841,540)	(9,320,113)	16%
Other expenses	4	(4,028,499)	(5,924,689)	(32%)
Finance income	5	184,528	91,242	102%
Finance costs	5	(4,420,520)	(4,039,981)	9%
Profit before income tax	6	24,016,258	10,858,033	121%
Income tax expense	8	(8,441,859)	(3,896,093)	117%
Profit for the year		15,574,399	6,961,940	124%
Profit attributable to:				
Equity holders of the Company		11,857,336	4,354,228	172%
Non-controlling interests		3,717,063	2,607,712	43%
Profit for the year		15,574,399	6,961,940	124%
Earnings per share				
-basic and diluted (Kshs per share)		15.00	5.51	172%
EBITDA		34,135,644	20,100,216	70%
EBITDA%		31.2%	23.4%	7.8ppt
EBIT		28,252,250	14,806,772	91%
EBIT%		25.8%	17.2%	8.6ppt

Consolidated statement of comprehensive income

Year ended 30 June	2022 Kshs '000	2021 Kshs '000	% Change
Profit for the year	15,574,399	6,961,940	124%
Other comprehensive income, net of tax:			
Items that may be reclassified to profit or loss:			
Exchange differences on translation of foreign operations	1,272,387	209,841	506%
Total comprehensive income for the year	16,846,786	7,171,781	135%
Total comprehensive income for the year attributable to:			
Equity holders of the Company	13,086,750	4,549,415	188%
Non-controlling interests	3,760,036	2,622,366	43%
Total comprehensive income for the year	16,846,786	7,171,781	135%

Consolidated statement of financial position

As at 30 June	Note	2022 Kshs '000	2021 Kshs '000	% Change
Equity attributable to owners of the Company				
Share capital		1,581,547	1,581,547	-
Share premium		1,691,151	1,691,151	-
Other reserves		(1,470,272)	(2,606,773)	(44%)
Retained earnings		8,678,086	5,519,268	57%
Proposed dividend		5,733,114	-	-
		16,213,626	6,185,193	162%
Non-controlling interests		10,200,169	8,667,237	18%
Total equity		26,413,795	14,852,430	78%
Non-current liabilities				
Deferred income tax	9	6,012,663	6,239,320	(4%)
Borrowings		35,161,874	38,260,591	(8%)
Lease liabilities	14	999,918	1,062,360	(6%)
		42,174,455	45,562,271	(7%)
Total equity and non-current liabilities		68,588,250	60,414,701	14%
Non-current assets				
Property, plant and equipment		68,585,463	59,747,234	15%
Right-of-use assets		1,333,003	1,451,980	(8%)
Intangible assets – Software		714,850	624,952	14%
Intangible assets – Goodwill		3,062,522	2,860,728	7%
Intangible assets – Brand		527,119	485,008	9%
Other financial assets		10,000	10,000	-
Deferred income tax	9	782,850	844,578	(7%)
		75,015,807	66,024,480	14%
Current assets				
Inventories	10	13,272,250	11,688,157	14%
Trade and other receivables	11	11,792,541	13,022,880	(9%)
Current income tax		404,326	3,769,587	(89%)
Cash and bank balances	15	9,941,746	5,611,910	77%
		35,410,863	34,092,534	4%
Current liabilities				
Trade and other payables	12	32,209,869	30,543,718	5%
Dividends payable		683,601	673,463	2%
Borrowings	13	6,633,690	6,900,000	(4%)
Lease liabilities	14	436,485	394,243	11%
Bank overdraft	13	1,874,775	1,190,889	57%
		41,838,420	39,702,313	5%
Net current liabilities		(6,427,557)	(5,609,779)	15%
		68,588,250	60,414,701	14%

SUMMARY OF FINANCIAL INFORMATION

Consolidated Statement of Changes in Equity

Year ended 30 June 2022	Share capital Kshs '000	Share premium Kshs '000	Other reserves Kshs '000	Retained earnings Kshs '000	Proposed dividends Kshs '000	Total Kshs '000	Non-controlling interest Kshs '000	Total equity Kshs '000
At 1 July 2021	1,581,547	1,691,151	(2,606,773)	5,519,268	-	6,185,193	8,667,237	14,852,430
Total comprehensive income								
Profit for the year	-	-	-	11,857,336	-	11,857,336	3,717,063	15,574,399
Other comprehensive income	-	-	1,229,414	-	-	1,229,414	42,973	1,272,387
Total comprehensive income for the year	-	-	1,229,414	11,857,336	-	13,086,750	3,760,036	16,846,786
Transactions with owners of the Company								
Share based payment reserve	-	-	30,385	-	-	30,385	-	30,385
Employees share ownership plan	-	-	(123,298)	-	-	(123,298)	-	(123,298)
Dividends:			-					
- Final for 2021	-	-	-	-	-	-	(79,904)	(79,904)
- Interim for 2022	-	-	-	(2,965,404)	-	(2,965,404)	(2,147,200)	(5,112,604)
- Proposed for 2022	-	-	-	(5,733,114)	5,733,114	-	-	-
Total transactions with owners of the Company	-	-	(92,913)	(8,698,518)	5,733,114	(3,058,317)	(2,227,104)	(5,285,421)
At 30 June 2022	1,581,547	1,691,151	(1,470,272)	8,678,086	5,733,114	16,213,626	10,200,169	26,413,795

SUMMARY OF FINANCIAL INFORMATION

Consolidated Statement of Changes in Equity (Continued)

Year ended 30 June 2021	Share capital Kshs '000	Share premium Kshs '000	Other reserves Kshs '000	Retained earnings Kshs '000	Total Kshs '000	Non-controlling interest Kshs '000	Total equity Kshs '000
At 1 July 2020	1,581,547	1,691,151	(2,821,327)	5,869,572	6,320,943	7,672,325	13,993,268
Total comprehensive income							
Profit for the year	-	-	-	4,354,228	4,354,228	2,607,712	6,961,940
Other comprehensive income	-	-	195,187	-	195,187	14,654	209,841
Total comprehensive income for the year	-	-	195,187	4,354,228	4,549,415	2,622,366	7,171,781
Transactions with owners of the Company							
Purchase of additional interest in a subsidiary	-	-	-	(4,704,532)	(4,704,532)	(1,566,844)	(6,271,376)
Share based payment reserve	-	-	25,166	-	25,166	-	25,166
Employees share ownership plan	-	-	(5,799)	-	(5,799)	-	(5,799)
Dividends:							
- Interim for 2021	-	-	-	-	-	(11,020)	(11,020)
- Final for 2020	-	-	-	-	-	(49,590)	(49,590)
Total transactions with owners of the Company	-	-	19,367	(4,704,532)	(4,685,165)	(1,627,454)	(6,312,619)
At 30 June 2021	1,581,547	1,691,151	(2,606,773)	5,519,268	6,185,193	8,667,237	14,852,430

SUMMARY OF FINANCIAL INFORMATION

Consolidated statement of cash flows

Year ended 30 June	Note	2022 Kshs '000	2021 Kshs '000	% Change
Operating activities				
Cash generated from operations	15	35,330,088	21,523,733	64%
Interest received	5	184,528	91,242	102%
Interest paid on borrowings		(4,137,835)	(3,141,386)	32%
Interest paid on lease liabilities	14	(95,211)	(89,530)	6%
Income tax paid		(5,375,866)	(3,772,288)	43%
Net cash flows from operating activities		25,905,704	14,611,771	77%
Investing activities				
Purchase of property, plant and equipment		(13,007,210)	(7,744,506)	68%
Purchase of intangible assets - software		(186,788)	(182,354)	2%
Purchase of additional interest in a subsidiary		-	(6,271,376)	-
Transfer of intangible assets to related parties		21,739	-	-
Net cash flows from investing activities		(13,172,259)	(14,198,236)	(7%)
Financing activities				
Repayment of principal portion of lease liabilities	14	(642,942)	(482,774)	33%
Dividends paid to Company's shareholders		(2,879,245)	-	-
Dividends paid to non-controlling interests		(2,269,910)	(60,610)	3645%
Unclaimed dividend paid - Unclaimed Financial Assets Authority		(76,022)	(140,396)	(46%)
Proceeds from borrowings	13	19,519,110	23,552,160	(17%)
Repayment of borrowings	13	(22,925,667)	(19,398,508)	18%
Movement in treasury shares		(123,298)	(5,799)	2026%
Net cash flows from financing activities		(9,397,974)	3,464,073	(371%)
Increase in cash and cash equivalents		3,335,471	3,877,608	(14%)
Movement in cash and cash equivalents				
At start of year		4,421,021	1,729,297	156%
Foreign exchange impact on translation		310,479	(1,185,884)	(126%)
Increase in the year		3,335,471	3,877,608	(14%)
At end of year	15	8,066,971	4,421,021	82%

Notes to the Financial Statements

The principal accounting policies adopted in the preparation of these financial statements have been consistently applied to all years presented, unless otherwise stated.

Basis of accounting

The financial statements have been prepared in accordance with International Financial Reporting Standards (“IFRS”) and in the manner required by the Kenyan Companies Act, 2015. The measurement basis applied is the historical cost basis, except where otherwise stated in the accounting policies below.

1. Revenue from contracts with customers

	2022 Kshs '000	2021 Kshs '000	% Change
Gross sales	193,849,847	152,572,477	27%
Indirect taxes	(84,440,820)	(66,610,662)	27%
	109,409,027	85,961,815	27%

2. Cost of sales

	2022 Kshs '000	2021 Kshs '000	% Change
Raw materials and consumables	28,840,034	24,930,181	16%
Distribution and warehousing	8,853,756	7,894,835	12%
Maintenance and other costs	9,519,304	7,845,567	21%
Staff costs	4,540,798	3,617,615	26%
Depreciation and amortisation	4,799,137	4,259,924	13%
	56,553,029	48,548,122	16%

3. Administrative expenses

	2022 Kshs '000	2021 Kshs '000	% Change
Staff costs	8,618,984	6,734,013	28%
Office supplies and other costs	914,936	1,425,264	(36%)
Depreciation and amortization	1,084,257	1,033,520	5%
Travelling and entertainment	223,363	127,316	75%
	10,841,540	9,320,113	16%

4. Other income/(expenses)

	2022 Kshs '000	2021 Kshs '000	% Change
Other income			
Net transactional foreign exchange gains	265,949	-	-
Sundry income	269,718	44,007	513%
	535,667	44,007	1117%
Other expenses			
Indirect tax expenses (*)	1,939,172	3,255,764	(40%)
Expected credit losses on trade receivables (Note 11)	2,138,860	583,279	267%
Net transactional foreign exchange losses	-	1,218,413	-
Write-off of property, plant and equipment	319,891	680,083	(53%)
Sundry expenses	166,243	231,157	(28%)
	4,564,166	5,968,696	(24%)
	(4,028,499)	(5,924,689)	(32%)

(*) Indirect tax expenses are expenses associated with irrecoverable VAT, irrecoverable withholding tax and other tax provisions.

5. Finance income/(expenses)

	2022 Kshs '000	2021 Kshs '000	% Change
Finance income			
Interest income	184,528	91,242	102%
	184,528	91,242	102%
Finance costs			
Interest expense on borrowings	(4,241,367)	(3,950,158)	7%
Interest expense on lease liabilities	(95,211)	(89,530)	6%
Other finance costs	(83,942)	(293)	28549%
	(4,420,520)	(4,039,981)	9%

6. Profit before income tax

The following items have been charged in arriving at the profit before tax

	2022 Kshs '000	2021 Kshs '000	% Change
Inventories expensed (Note 10)	28,840,034	24,930,181	16%
Employee benefits expense (Note 7)	13,159,782	10,024,254	31%
Depreciation on property, plant and equipment	5,165,098	4,640,708	11%
Depreciation of right-of-use assets	559,665	458,680	22%
Amortisation of intangible assets - software	158,631	194,056	(18%)
Auditor's remuneration	33,855	37,247	(9%)

7. Employee benefits expense

The following items are included within employee benefits expense:

	2022 Kshs '000	2021 Kshs '000	% Change
Salaries and wages	8,808,396	7,230,251	22%
Defined contribution scheme	536,101	460,769	16%
National Social Security Fund	216,390	146,892	47%
Share based payments	30,385	25,166	21%
Employee share ownership plan of the parent company (*)	157,959	83,022	90%
Other staff costs	3,410,551	2,405,528	42%
	13,159,782	10,351,628	27%

(*) Some of the senior executives of the Group participate in the share ownership schemes linked to the share price of Diageo plc shares and administered by Diageo plc. The schemes are of various categories. The costs associated with these schemes are recharged to the Company and accounted for as part of staff costs.

8. Income tax expense

The tax on the Group's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	2022 Kshs '000	2021 Kshs '000	% Change
Profit before income tax	24,016,258	10,858,033	121%
Tax calculated at the statutory income tax rate of 30% (30 June 2021 – 27.5%)	7,204,877	2,985,959	141%
Tax effects of:			
- Expenses not deductible for tax purposes	1,054,889	803,355	31%
- Different tax rates of foreign subsidiaries	19,909	74,255	(73%)
- Tax losses previously not recognised	-	(521,990)	-
- Impact of change in tax rates	-	647,072	-
Under/(over) provision of current tax in prior years	171,171	(166,702)	(203%)
(Over)/under provision of deferred tax in prior years	(8,987)	74,144	(112%)
Income tax expense	8,441,859	3,896,093	117%

SUMMARY OF FINANCIAL INFORMATION

9. Deferred income tax

Deferred income tax assets and liabilities and deferred income tax charge/(credit) in the profit or loss are attributable to the following items:

Year ended 30 June 2022	At 1 July 2021 Kshs '000	Impact of change in tax rate Kshs'000	Prior year (over)/under provision Kshs'000	Charged/ (credited) to profit or loss Kshs'000	Effects of Exchange rate changes Kshs'000	At 30 June 2022 Kshs'000
Deferred income tax liabilities						
Property, plant and equipment	8,444,830	-	21,863	49,170	198,527	8,714,390
Right-of-use assets	461,044	-	-	(25,384)	5,918	441,578
Unrealised exchange gains/(losses)	203,930	-	(40,129)	9,961	3,796	177,558
Deferred income tax liabilities	9,109,804	-	(18,266)	33,747	208,241	9,333,526
Deferred income tax assets						
Property, plant and equipment	(276,452)	-	-	-	(18,550)	(295,002)
Unrealised exchange gains/(losses)	408,447	-	(5,833)	(51,900)	(12,334)	338,380
Lease liabilities	(489,954)	-	-	12,550	(517)	(477,921)
Tax losses carried forward	(1,632,545)	-	12,488	394,090	(22,018)	(1,247,985)
Other deductible differences	(1,724,558)	-	2,624	(683,851)	(15,400)	(2,421,185)
Deferred income tax assets	(3,715,062)	-	9,279	(329,111)	(68,819)	(4,103,713)
Net deferred income tax	5,394,742	-	(8,987)	(295,364)	139,422	5,229,813

9. Deferred income tax (continued)

Year ended 30 June 2021	At 1 July 2020 Kshs '000	Impact of change in tax rate Kshs'000	Prior year (over)/under provision Kshs'000	Charged/ (credited) to profit or loss Kshs'000	Effects of Exchange rate changes Kshs'000	At 30 June 2021 Kshs'000
Deferred income tax liabilities						
Property, plant and equipment	7,321,742	944,781	107,561	(60,081)	130,827	8,444,830
Right-of-use assets	450,278	49,400	1,401	(48,886)	8,851	461,044
Unrealised exchange gains/(losses)	167,881	111	-	34,345	1,593	203,930
Deferred income tax liabilities	7,939,901	994,292	108,962	(74,622)	141,271	9,109,804
Deferred income tax assets						
Property, plant and equipment	(274,782)	-	-	-	(1,670)	(276,452)
Unrealised exchange gains/(losses)	334,327	(24,031)	17,511	82,201	(1,561)	408,447
Lease liabilities	(459,088)	(51,541)	(9,251)	29,988	(62)	(489,954)
Tax losses carried forward	(1,255,297)	(14,980)	10,850	146,760	(4,780)	(1,117,447)
Tax losses previously not recognised	-	-	-	(515,098)	-	(515,098)
Other deductible differences	(1,169,641)	(232,917)	(53,928)	(234,865)	(33,207)	(1,724,558)
Deferred income tax assets	(2,824,481)	(323,469)	(34,818)	(491,014)	(41,280)	(3,715,062)
Net deferred income tax	5,115,420	670,823	74,144	(565,636)	99,991	5,394,742

10. Inventories

	2022 Kshs '000	2021 Kshs '000	% Change
Raw materials and consumables	7,326,223	7,540,796	(3%)
Work in progress	879,441	650,119	35%
Finished goods	4,721,844	3,324,322	42%
Goods in transit	344,742	172,920	99%
	13,272,250	11,688,157	14%

The cost of inventories recognised as an expense and included in 'cost of sales' amounted to Kshs 28,840,034,000 (2021: Kshs 24,930,181,000).

11. Trade and other receivables

	2022 Kshs '000	2021 Kshs '000	% Change
Trade receivables	9,240,879	7,762,422	19%
Less: provision for expected credit losses	(1,564,033)	(1,419,475)	10%
	7,676,846	6,342,947	21%
Other receivables	4,209,308	6,299,109	(33%)
Less: provision for expected credit losses	(2,613,027)	(618,725)	322%
Prepayments	2,193,305	838,194	162%
Receivables from related parties	326,109	161,355	102%
	11,792,541	13,022,880	(9%)

Movement in expected credit losses allowance

The following table shows the movement in lifetime expected credit losses that has been recognized for trade and other receivables in accordance with the simplified approach set out in IFRS 9.

	2022 Kshs '000	2021 Kshs '000	% Change
At start of year	2,038,200	1,511,581	35%
Charge to profit or loss (Note 4)	2,138,860	583,279	267%
Write-offs	-	(56,660)	-
At end of year	4,177,060	2,038,200	105%

12. Trade and other payables

	2022 Kshs '000	2021 Kshs '000	% Change
Trade payables	10,306,211	8,772,866	17%
Other payables and accrued expenses	20,191,856	20,076,301	1%
Payables to related parties	1,711,802	1,694,551	1%
	32,209,869	30,543,718	5%

13. Borrowings

	2022 Kshs '000	2021 Kshs '000	% Change
The borrowings are made up as follows:			
Non-current			
Bank loans	24,161,874	38,260,591	(37%)
Medium term note	11,000,000	-	-
	35,161,874	38,260,591	(8%)
Current			
Bank loans	6,633,690	6,900,000	(4%)
	6,633,690	6,900,000	(4%)
Bank overdraft	1,874,775	1,190,889	57%
	8,508,465	8,090,889	5%
	43,670,339	46,351,480	(6%)

The carrying amounts of current borrowings approximate their fair value, as the impact of discounting is not material. The movement in borrowings is as follows:

	2022 Kshs '000	2021 Kshs '000	% Change
At start of year	46,351,480	44,938,591	3%
Advanced in the year - Bank loans	8,519,110	23,552,160	(64%)
Issue of Medium Term Note	11,000,000	-	-
Repayment of bank loans	(22,925,667)	(19,398,508)	18%
Movement in bank overdrafts	683,886	(2,741,449)	(125%)
Effect of exchange rate changes	41,530	686	5954%
At end of year	43,670,339	46,351,480	(6%)

14. Lease liabilities

	2022 Kshs '000	2021 Kshs '000	% Change
Movement of lease liabilities:			
At 1 July	1,456,603	1,611,106	(10%)
Additions	450,283	380,401	18%
Interest expense on leases	95,211	89,530	6%
Repayment of lease liabilities			
- Payment of the principal portion of the lease liability	(642,942)	(482,774)	33%
- Interest paid on lease liabilities	(95,211)	(89,530)	6%
Effect of change in exchange rates	172,459	(52,130)	(431%)
At 30 June	1,436,403	1,456,603	(1%)
Presented as:			
Current lease liabilities	436,485	394,243	11%
Non-current lease liabilities	999,918	1,062,360	(6%)
	1,436,403	1,456,603	(1%)

15. Cash generated from operations

(a) Reconciliation of profit before income tax to cash generated from operations:

	2022 Kshs '000	2021 Kshs '000	% Change
Profit before income tax	24,016,258	10,858,033	121%
Adjusted for:			
Interest income (Note 5)	(184,528)	(91,242)	102%
Interest expense on borrowings (Note 5)	4,241,367	3,950,158	7%
Interest expense on lease liabilities (Note 5)	95,211	89,530	6%
Depreciation of property, plant and equipment	5,165,098	4,640,708	11%
Amortisation of right-of-use asset	559,665	458,680	22%
Amortisation of intangible asset - software	158,631	194,056	(18%)
Share based payments	30,385	25,166	21%
Write-off of property, plant and equipment	319,891	680,083	(53%)
Cash generated from operations before working capital adjustments	34,401,978	20,805,172	65%
Changes in working capital:			
-Trade and other receivables	1,492,812	(7,245,538)	(121%)
- Inventories	(1,339,507)	(645,030)	108%
-Trade and other payables	774,805	8,609,129	(91%)
Cash generated from operations	35,330,088	21,523,733	64%

15. Cash generated from operations (Continued)

(b) Cash and cash equivalents

	2022 Kshs '000	2021 Kshs '000	% Change
Cash and bank balances	9,941,746	5,611,910	77%
Bank overdraft (Note 13)	(1,874,775)	(1,190,889)	57%
	8,066,971	4,421,021	82%

(c) Movement in working capital

	2022 Kshs '000	2021 Kshs '000	% Change
Movement in trade and other receivables			
Movement per statement of financial position	1,230,339	(7,341,436)	(117%)
Foreign currency translation differences	262,473	95,898	174%
Net movement in receivables as per cash flow	1,492,812	(7,245,538)	(121%)
Movement in inventory			
Movement per statement of financial position	(1,584,093)	(771,787)	105%
Foreign currency translation differences	244,586	126,757	93%
Net movement in inventory as per cash flow	(1,339,507)	(645,030)	108%
Movement in trade and other payables			
Movement per statement of financial position	1,666,151	8,812,635	(81%)
External interest payable	(699,065)	(382,299)	83%
Foreign currency translation differences	(192,281)	178,793	(208%)
Net movement in payables as per cash flow	774,805	8,609,129	(91%)

EAST AFRICAN BREWERIES PLC

RESULTS BOOKLET

FOR THE YEAR ENDED 30 JUNE 2022

East African Breweries PLC
(Incorporated in the Republic of Kenya)

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